

CAMS Exam Preparation

Domain A: Understanding the Risks and Methods of Financial Crime (30%)

Advanced AML Training Framework

Domain A: 30% of CAMS Exam — 100 Slides — ML Stages, TBML, PEPs, VASPs, Gatekeepers, Real Estate, Insurance

Key Distinction (Heavily Tested)

- **Money Laundering:** Conceals **illicit origin** of proceeds; always involves dirty money from predicate crimes.
- **Terrorist Financing:** Funds may be **legitimate** (donations, salary); concealment objective is **intended use** for violence, not origin.

CRITICAL: Standard AML controls focused on suspicious **origins** may fail to detect TF involving **clean-source funds**.

Core Definition

The process of making criminal proceeds appear legitimate through three distinct stages: Placement, Layering, Integration.

Key Elements:

- Criminal proceeds from predicate offenses
- Intent to conceal illicit origin
- Three-stage process
- Goal: Make funds appear legitimate

FATF Recommendation 5 - TF Offense

Criminalize TF regardless of whether funds actually used for terrorist act.

Requirements:

- No minimum monetary threshold (even \$1 is enough)
- Collection of funds for terrorist purposes is sufficient
- Standalone offense (not just covered under ML)
- Intent is the critical element

Deficiency: \$10,000 threshold for TF violates Recommendation 5.

What Are Sanctions?

Legal restrictions imposed by governments or international bodies against designated countries, individuals, or entities to achieve foreign policy or national security objectives.

Types of Sanctions:

- Country/Regime Sanctions: Comprehensive restrictions
- Targeted Sanctions: Against specific individuals or entities
- Sectoral Sanctions: Restrictions on specific industries
- Asset Freezes: Freezing assets of designated persons

Sanctions are **strict liability** — no intent is required for a violation.

Financial Fraud Definition

Intentional deception or misrepresentation made for personal gain or to damage another individual, involving financial transactions or assets.

Common Fraud Types:

- Identity Theft: Using stolen personal information
- Synthetic Identity Fraud: Creating fake identities
- Investment Fraud: False investment opportunities
- Payment Fraud: Unauthorized transactions
- Insurance Fraud: False insurance claims

Fraud and money laundering often overlap — fraud generates proceeds that need laundering.

Bribery Definition

The offering, giving, receiving, or soliciting of anything of value to influence an action or decision.

Key Distinctions:

- **Bribery:** Paying for influence (illegal)
- **Facilitation Payment:** Small payment to speed routine action (allowed under FCPA, prohibited under UK Bribery Act)
- **Hospitality:** Legitimate business entertainment (must be proportionate)
- **Corruption:** Abuse of entrusted power for private gain

The **UK Bribery Act** is stricter than the FCPA — it prohibits facilitation payments.

Tax Evasion Definition

The illegal act of deliberately not paying taxes that are legally owed, typically through concealment or misrepresentation.

Distinction:

- **Tax Evasion:** Illegal — misrepresentation, concealment
- **Tax Avoidance:** Legal — using legitimate methods to reduce tax liability

Tax evasion is a predicate offense for money laundering in many jurisdictions.

Key Requirements

- FATF recommends the "**all-crimes approach**" - applies to proceeds from **all serious criminal acts**.
- **Self-laundering IS criminalized** - predicate offender can also be charged with money laundering.
- 6AMLD harmonizes **22 predicate offenses** across EU.

Example: Drug trafficker who processes own proceeds through a car wash business → can be charged with BOTH drug trafficking AND money laundering.

Economic Impacts

- Distortion of economic statistics and misallocation of resources
- Undermines legitimate economic activity
- Loss of tax revenue for governments
- Increased volatility from sudden capital movements
- Reduced foreign investment in high-risk countries
- Reputational damage to financial centers

Money laundering **undermines** legitimate economic activity by distorting markets.

Reputational Impacts

- Loss of customer trust and confidence
- Reduced business opportunities and partnerships
- Damage to brand value and market position
- Negative media coverage and public scrutiny
- Increased regulatory supervision and oversight
- Difficulty attracting and retaining talent

Reputational damage can be **more severe** than financial penalties.

Social Impacts

- Increased crime as laundered funds fuel criminal enterprises
- Corruption of public officials and institutions
- Social inequality from illicit wealth concentration
- Weakens rule of law and legal institutions
- Fuels violence, terrorism, and organized crime
- Increases poverty and undermines development

Money laundering is not a victimless crime — it fuels **organized crime** and **corruption**.

Types of Penalties

- **Civil Penalties:** Financial fines (e.g., US BSA, UK FCA)
- **Criminal Penalties:** Imprisonment for individuals
- **Administrative Penalties:** License suspension or revocation
- **Personal Liability:** Compliance officers and senior management

Under **FATF Recommendation 35**, sanctions must be effective, proportionate, and dissuasive.

De-Risking Definition

Termination of entire categories of customer relationships without individual risk assessment.

Negative Consequences:

- Legitimate businesses lose access to global financial system
- Drives transactions into **unregulated, informal channels**
- Harms financial inclusion and developing economies
- Contradicts the mandatory **risk-based approach**

FATF Predicate Offense Categories

- UN Convention Categories: Drug trafficking, corruption, fraud, human trafficking
- FATF Expansion: Tax crimes, environmental crimes, counterfeiting
- EU 6AMLD: Expanded to include 22 predicate offenses

Under FATF standards, **all serious offenses** should be predicate offenses for ML.

Drug Trafficking as ML Source

Drug trafficking generates enormous cash proceeds that must be laundered to be used in the legitimate economy.

Key Points:

- Cash-intensive nature makes it a major ML source
- Proceeds often laundered through trade-based ML
- Cartels use BMPE and trade to move value
- Drug trafficking organizations use complex structures

Corruption-ML Connection

Corruption proceeds (bribes, embezzlement) must be laundered through the financial system to appear legitimate.

Key Points:

- PEPs are at higher risk of corruption
- Corruption enables other financial crimes
- Bribery undermines internal controls
- Corruption and money laundering are **interconnected**

Human Trafficking-ML Connection

Human trafficking generates significant proceeds that must be laundered through the financial system.

Key Points:

- High-profit, low-risk crime for traffickers
- Multiple small payments to controller accounts
- Funds used to purchase real estate and businesses
- Victims' wages deposited to controller accounts

Self-Laundering (18 U.S.C. §1956)

U.S. law **DOES** criminalize self-laundering.

Key Points:

- Predicate offender **CAN** be charged with money laundering for processing own proceeds
- **Double jeopardy argument fails** - each offense requires proof of different elements
- Example: Wire fraud + money laundering = **TWO** separate crimes

Three Stages

- ❶ **Placement:** Introducing illicit funds into the financial system
- ❷ **Layering:** Conducting complex transactions to obscure the audit trail
- ❸ **Integration:** Making laundered funds appear legitimate through investments

Example: Cash deposits → wire transfers → real estate purchase.

Common Placement Methods

- Structured cash deposits (smurfing) below CTR thresholds
- Currency smuggling across borders
- Purchasing assets with cash
- Using currency exchanges or MSBs
- Gambling at casinos
- Commingling with legitimate business revenues

Placement is the riskiest stage for criminals.

Structuring Definition

Deliberately breaking cash deposits into amounts below reporting thresholds to evade CTR requirements.

Red flags:

- Multiple deposits just below \$10,000 (\$9,500-\$9,900)
- Deposits from multiple individuals to same account
- Geographic dispersion of deposits

Structuring is a federal crime independent of the underlying source of funds.

Layering Methods

- Wire transfers through multiple accounts and jurisdictions
- Use of shell companies and trusts
- Trade-based money laundering
- Cryptocurrency mixing and privacy coin conversion
- Use of professional intermediaries

Purpose: Create distance between funds and criminal source.

Integration Methods

- Purchase of real estate or luxury assets
- Investment in legitimate businesses
- False loan repayments
- Commingling with legitimate business revenues
- Sale of assets purchased with laundered funds

Purpose: Funds re-enter economy as legitimate-appearing wealth.

Over-Invoicing Mechanism

- Exporter inflates invoice price above market value
- Importer pays inflated amount, transferring excess value to exporter

Red flag: Price significantly above market (e.g., \$1,200 vs \$180). **Criminal purpose:** Move funds from importer to exporter disguised as trade.

Under-Invoicing Mechanism

- Exporter deflates invoice price below market value
- Importer pays lower amount but sells goods at market price
- Importer retains surplus as "clean" funds

Red flag: Price significantly below market. **Criminal purpose:** Move value from exporter to importer.

Phantom Shipping Mechanism

- No actual goods are ever shipped
- Complete fabricated documentation
- Funds transferred based on false paperwork

Detection indicators:

- Empty containers discovered upon inspection
- Shipper has no manufacturing capability
- Altered bills of lading

Why FTZs are High Risk

- Relaxed regulatory oversight
- Minimal customs documentation inspections
- High volume of re-exported goods
- Opportunity for mislabeling cargo
- Phantom shipments

Red flags: Uniform invoice values, empty containers, altered bills of lading.

BMPE Mechanism

- 1 Narco-dollars deposited in U.S. accounts (structured below \$10k)
- 2 Colombian peso broker buys dollars at discount (20-30% off)
- 3 Broker uses dollars to pay U.S. invoices for Colombian merchants
- 4 Colombian merchant repays broker in pesos at favorable rate
- 5 **No cross-border currency movement** after initial deposit

Key insight: Uses drug dollars to pay legitimate commercial invoices.

Trade Finance ML Risks

Over/under-invoicing to move value across borders while disguising the true purpose of the transaction.

Red Flags:

- Invoice price significantly above or below market value
- Multiple amendments to letters of credit
- Round-dollar invoices (not typical for genuine trade)
- Shipment routing through free trade zones

Trade-based ML is **difficult to detect** because it appears as legitimate trade.

Wealth Management ML Risks

Use of offshore structures, trusts, and complex investment vehicles to conceal ownership and source of funds.

Key Vulnerabilities:

- Complexity and confidentiality attract launderers
- Numbered accounts and relationship discretion
- High asset requirements
- Use of multiple intermediaries

Correspondent Banking Risks

The respondent bank may have weaker AML controls, creating a channel for illicit funds to enter the financial system.

Key Vulnerabilities:

- Loss of visibility into underlying transactions
- Nested correspondent accounts
- Respondent bank services unlicensed MSBs
- Payable-through accounts with no CDD

Correspondent banking is a **gateway** for cross-border money laundering.

Private Banking Risks

Discretion and personalized service can be exploited to conceal illicit activity and bypass standard controls.

Key Vulnerabilities:

- Numbered accounts
- Relationship discretion
- High asset requirements
- Personalized service can circumvent controls

Nested Correspondent Accounts - Critical Risk

When a respondent bank allows third parties to route transactions through the correspondent account **without disclosure**:

- Correspondent bank loses visibility into true originators/beneficiaries
- Increased risk of processing for sanctioned entities
- Violates core correspondent banking due diligence

Required actions: Immediate RFI, SAR filing, reassess relationship.

PTA Obligations (U.S. Regulations)

- Correspondent bank **MUST** apply CDD directly to underlying PTA accountholders
- Must maintain records identifying each PTA accountholder
- **Cannot rely solely on respondent bank's CDD**

Red flag: Multiple sub-\$10,000 wires to same shell company.

Section 313 - Shell Bank Definition

A "shell bank" has:

- NO physical presence in any country
- NOT affiliated with a regulated financial institution

U.S. banks absolutely prohibited from maintaining correspondent accounts for foreign shell banks.

DNFBP Risks

DNFBPs handle client money and can facilitate transactions that conceal the source of funds.

Key Vulnerabilities:

- Gatekeepers who can enable money laundering
- Professional status may bypass scrutiny
- IOLTA accounts are blind pass-through vehicles

DNFBPs are **gatekeepers** who can enable money laundering without knowing it.

Casino Risks

Casinos handle large amounts of cash and can be used for placement and layering of illicit funds.

Key Vulnerabilities:

- Cash-intensive businesses
- Can commingle illicit and legitimate funds
- Chip washing combines placement and integration

Real Estate Risks

Real estate purchases can be used to launder large sums of money through asset purchases.

Key Vulnerabilities:

- Preferred integration vehicle
- All-cash purchases through anonymous LLCs
- Over/under-valuation techniques

Cryptocurrency Risks

Pseudonymous transactions and rapid value transfer make crypto exchanges attractive for money laundering.

Key Vulnerabilities:

- Pseudonymity and anonymity
- Rapid cross-border transfer
- Privacy coins and mixers

Cryptocurrency exchanges are **VASPs** and are subject to FATF Recommendation 16 (Travel Rule).

Who Qualifies as PEP (FATF Definition)

Individuals with prominent public functions:

- Heads of state or government
- Senior politicians and cabinet ministers
- Senior judicial officials
- Senior military officials
- Senior executives of state-owned enterprises
- Leaders of political parties

Family members and close associates are also treated as PEPs.

Family Member Definition

Treated as PEPs even without government positions:

- Spouse or civil partner
- Children (including adult children)
- Parents
- Siblings

Close associates:

- Close business or personal relationship to PEP
- Beneficial owners of entities for PEP's benefit

Example: Adult daughter of foreign minister IS a PEP requiring EDD.

Classification Differences

Foreign PEP:

- Always requires EDD and senior approval
- Higher inherent risk
- Must establish SoW and SoF

Domestic PEP:

- May require EDD depending on jurisdiction
- Potentially less intensive
- Still requires enhanced scrutiny

Critical Distinction (Heavily Tested)

- **Source of Funds (SoF):** Specific transaction being deposited (sale contract, inheritance)
- **Source of Wealth (SoW):** How PEP accumulated overall net worth (career, business, inheritance)

EDD for PEPs requires BOTH. Civil servant with \$4.5M apartment: SoF insufficient without SoW.

When a Customer Becomes a PEP

- **Immediate reclassification to HIGH risk**
- Mandatory EDD applied within days
- Re-establish source of wealth AND source of funds
- Senior management approval to continue
- Back-dated gap period is control failure

Example: Customer elected to foreign cabinet → re-rate immediately.

PEP Status After Retirement

- Maintain for **"reasonable period"** (minimum 12 months)
- **Risk-based decision** considering:
 - Country corruption risk
 - Continued access to influence
 - Time elapsed since leaving office
 - Account activity pattern
- 5 years clean activity MAY justify lowering risk
- **Decision must be documented**

Enhanced Due Diligence Requirements

- Establish SoW and SoF through verifiable documentation
- Obtain senior management approval
- Increased transaction monitoring frequency
- Review all significant transactions
- Identify UBO of any legal entity or trust
- Document all findings
- Reassess risk annually or upon triggers

Securities Sector ML Risks

Market manipulation and insider trading generate illicit profits that must be laundered.

Key Vulnerabilities:

- Used for both generating and laundering illicit funds
- Complex trading patterns obscure source
- Multiple accounts and jurisdictions

Investment Fund ML Risks

Use of funds to commingle illicit and legitimate investments, obscuring the source of funds.

Key Vulnerabilities:

- Integration vehicle for laundered funds
- Complex structures hide ownership
- Multiple layers of funds

Asset Leasing and Financing Risks

Over-valuation of assets to move value, or using lease payments to layer funds.

Key Vulnerabilities:

- Over-invoicing and value transfer
- Complex financing structures
- Cross-border leasing arrangements

Pension Fund ML Risks

Illicit funds can be invested in pension funds, later withdrawn as "clean" retirement benefits.

Key Vulnerabilities:

- Long-term integration vehicle
- Legitimate-appearing retirement income
- Multiple layers of investments

Who Must Register as an MSB

- Check casher: cashing $\geq$ \$1,000/person/day
- Money transmitter: any volume
- Currency dealer or exchanger
- Issuer or seller of prepaid access
- Traveler's check issuer

Grocery store cashing checks $\geq$ \$1,000/day without registration = BSA violation.

Agent Network Compliance

- MSB principal is **fully responsible** for agent compliance
- Must monitor agent transaction activity
- Unexplained volume spikes require investigation
- May need to file SAR on agent location
- Terminate agent if compliance cannot be ensured

Red flag: Agent processes 5,000% above historical average.

Payment Service Provider Risks

Facilitating fraudulent transactions and operating in jurisdictions with limited regulatory oversight.

Key Vulnerabilities:

- Gateways for e-commerce fraud
- Cross-border payment complexity
- Multiple payment methods obscure source

E-Commerce ML Risks

Using fake transactions or over/under-invoicing to move value across borders.

Key Vulnerabilities:

- Trade-based money laundering
- Fake transactions and refunds
- Multiple seller accounts

Prepaid Access Requirements

- Issuer is considered an MSB
- Must register with FinCEN
- Must implement risk-based AML program
- CDD on cardholders exceeding thresholds
- Monitor reload activity for structuring

Not exempt: Prepaid cards are monetary instruments under BSA.

Prepaid Card Abuse Example

Traveler with 50 prepaid cards each loaded with \$9,500 (total \$475,000):

- **Structuring violation:** Each card just below \$10,000
- **Currency reporting evasion:** Cards are monetary instruments
- **Layering:** Purchased at multiple locations
- **Destination risk:** Flying to heightened scrutiny jurisdiction

When CDD Applies to Life Insurance

- Annual premium exceeds USD/EUR 10,000
- Single premium exceeds USD/EUR 10,000
- Any suspicious transaction

Who must be identified:

- Policyholder
- Beneficiary (once designated)
- For legal entities: beneficial owners

Beneficiary CDD applies even if designated after policy issuance.

How Insurance Features Are Exploited

Policy loan as layering:

- Purchase policy with criminal proceeds
- Take policy loan for 90% of cash value
- Loan proceeds are "legitimate" check

Cash surrender extraction:

- After brief holding period
- Surrender policy, receive check minus penalty
- Penalty is "laundering fee"

Life Insurance ML Indicators

- Premium from offshore shell company
- Premium from secrecy haven jurisdiction
- Early surrender with proceeds to different account
- Policyholder is foreign PEP; beneficiary is shell company
- Large premium relative to legitimate income
- Premiums from multiple unrelated third parties

Property/Casualty ML Risks

Fraudulent claims to convert illicit funds into legitimate claim payments.

Key Vulnerabilities:

- Insurance fraud generates proceeds that need laundering
- Over-valuation of claims
- Multiple claims for same loss

Reinsurance ML Risks

Complex transactions that obscure the flow of funds across borders.

Key Vulnerabilities:

- Complex cross-border structures
- Multiple layers of reinsurance
- Difficulty tracing ultimate destination

Insurance CDD Under FATF

Identification of the policyholder and beneficiary, with EDD for high-risk policies.

Key Points:

- Insurance companies are covered entities under FATF Rec. 10
- EDD for high-risk policies and PEPs
- Beneficiary identification is mandatory

Virtual Asset Service Provider (VASP)

A person or entity conducting virtual asset exchange, transfer, or custody services for third parties.

FATF extends AML requirements to VASPs under **Recommendation 16**.

Virtual Asset Travel Rule (Recommendation 16)

Required information for transfers above USD/EUR 1,000:

- Originator: name, account/wallet address
- Originator: address, ID number, or DOB (at least ONE)
- Beneficiary: name and account/wallet address

Receiving VASP obligations: Must obtain info; if not provided → follow up, delay, apply EDD.

Cryptoasset Vulnerabilities

- Pseudonymity and anonymity
- Rapid cross-border transfer
- Privacy coins and mixers obscure transactions
- DeFi protocols with no KYC

Privacy coins (Monero, Zcash) and mixers (Tornado Cash) are **challenges** for tracing.

Anonymity-Enhanced Cryptocurrencies

Monero (XMR):

- Ring signatures - obscures which input is real
- Stealth addresses - one-time addresses per transaction

Zcash (ZEC):

- Zero-knowledge proofs (zk-SNARKs)
- Shielded transactions hide all details

Mixing/Tumbling Process

- 1 Customer sends crypto to mixing service
- 2 Mixer pools funds from many users
- 3 Mixer redistributes to new wallets controlled by customer
- 4 Original source becomes obscured

Red flags: Use of mixer without legitimate explanation, refusal to explain source.

NFT Wash Trading Typology

- 1 Self-controlled wallets buy/sell same NFTs among themselves
- 2 Prices artificially escalate through circular transactions
- 3 Creates fraudulent market record
- 4 Sells NFT to unwitting third party at inflated price
- 5 Converts to fiat as "capital gain"

Exchange obligation: File SAR based on wash trading pattern.

FATF DeFi Guidance

If a person/entity maintains **control or sufficient influence** over a DeFi protocol:

- Through governance token majority (>50%)
- Ability to upgrade contract code
- Ongoing management or control

They may be considered a VASP subject to AML obligations.

Cross-Chain Bridge Exploitation

- Criminal converts assets to token on privacy blockchain using bridge
- Privacy blockchain obscures transaction trail
- After mixing, funds bridged back as different asset
- Transactional link to original source is severed

Detection: On-chain analysis can identify bridge usage patterns.

AML Obligations by Wallet Type

Custodial wallets:

- VASP has full CDD obligations
- VASP controls funds and can monitor transactions

Non-custodial wallets:

- VASP's CDD ability is limited
- Cannot verify off-platform transactions
- Higher inherent AML risk

Stablecoin Vulnerabilities

- Pegged to fiat currency - price stability facilitates value storage
- Rapid cross-border transfers without banking intermediaries
- Some issuers have weak or no CDD controls
- Can be redeemed for fiat at any time

Risk: Cross-border value movement without traditional oversight.

Casino Reporting Requirements

Casinos with revenue $\geq$ \$1 million must:

- File CTRs for cash $\geq$ \$10,000 in a gaming day
- File SARs for suspicious patterns $\geq$ \$5,000
- Conduct CDD at \$3,000 chip purchase (FATF Rec. 12)
- Maintain AML compliance program
- Verify customer identity at threshold

Chip Washing Pattern

- Large cash chip purchase (e.g., \$300,000) - triggers CTR
- **Minimal gaming** (e.g., 45 minutes, \$1,500 wagered)
- Cash out remaining chips for casino check
- Accepts small "gaming loss" as laundering fee

Obligations: File CTR AND file SAR.

Online Gambling ML Risks

Deposits and withdrawals via multiple payment methods, obscuring the source of funds.

Key Vulnerabilities:

- Cross-border payment complexity
- Multiple payment methods
- Small transactions below thresholds

Sports Betting ML Risks

Match-fixing and insider betting generate proceeds that need laundering.

Key Vulnerabilities:

- Used to generate and launder funds
- Insider information abuse
- Multiple betting accounts

Gaming CDD Requirements

Identification at set thresholds, transaction monitoring, and STR filing.

Key Points:

- Gaming establishments are covered entities under FATF
- CDD at chip purchase thresholds
- Transaction monitoring required

Real Estate Vulnerabilities

Purchase of property with illicit funds, over/under-valuation, and use of shell companies to hide ownership.

Key Vulnerabilities:

- Preferred integration vehicle
- All-cash purchases through anonymous LLCs
- Over/under-valuation techniques

Real estate is a preferred **integration** vehicle.

Shell Company Abuse

Shell companies conceal beneficial ownership and make tracing the source of funds difficult.

Red Flags:

- Recently formed LLC
- Registered agent is corporate service provider
- Refusal to disclose beneficial owner
- Multiple layers of ownership

GTO Requirements - Real Estate

- Title companies must identify natural persons behind legal entities
- All-cash purchases above threshold (typically \$300,000)
- Targets specific metro areas (Miami, LA, NYC, etc.)
- **Temporary orders**, renewed periodically

Red flags: Recently formed LLC, IOLTA wire, registered agent refuses UBO disclosure.

Over-Valuation Technique

Property is purchased above market value, with the difference returned to the buyer as "clean" proceeds.

Key Points:

- Form of value transfer
- Appears as legitimate real estate transaction
- Difference is laundered proceeds

Integration Through Real Estate

- ① **Placement:** Structured cash deposits below \$10,000
- ② **Layering:** Funds into anonymous LLC
- ③ **Layering/Integration:** LLC purchases property with cash
- ④ **Integration:** Property generates rental income reported on taxes
- ⑤ **Integration:** Property sold, proceeds deposited as legitimate

EDD for High-Risk Real Estate

Source of funds verification, beneficial ownership identification, and transaction monitoring.

Key Points:

- Real estate agents are covered under FATF Recommendation 22
- EDD for all-cash purchases
- Beneficial ownership identification required

What is a Gatekeeper?

Professionals who facilitate financial transactions or provide services that can be exploited for money laundering.

Gatekeepers include:

- Lawyers
- Accountants
- Trust and Company Service Providers (TCSPs)
- Notaries

Lawyer Risks

Handling client funds in escrow accounts, creating structures to conceal ownership.

Key Vulnerabilities:

- IOLTA accounts are blind pass-through vehicles
- Professional status may bypass scrutiny
- Attorney-client privilege may be abused

Lawyers are covered under **FATF Recommendation 22**.

Why IOLTA Accounts Are Dangerous

- Banks rely on attorney's professional status
- Do NOT look through pooled accounts
- Illicit funds enter credentialed by attorney status
- Multiple client funds commingled
- Rapid disbursement possible

Notary Risks

Authenticating documents that may be used to conceal or transfer ownership of illicit assets.

Key Vulnerabilities:

- Document authentication without scrutiny
- May facilitate shell company formation
- Covered under FATF Recommendation 22

Risk Mitigation

Training, client acceptance committees, and standardized due diligence questionnaires.

Key Controls:

- AML training for professionals
- Client acceptance and review committees
- Standardized CDD questionnaires
- Ongoing monitoring

Trust and Company Service Provider (TCSP)

An entity providing services such as company formation, registered office, nominee directors, and trust services.

TCSPs are covered under **FATF Recommendation 23**.

TCSP ML Risks

Formation of companies to conceal beneficial ownership and facilitate layering of illicit funds.

Key Vulnerabilities:

- Creates vehicles for money laundering
- Nominee directors and shareholders
- Registered office addresses

Red Flags for TCSP Clients

- Requesting confidentiality for shareholders
- High-risk jurisdictions
- Refusal to disclose beneficial ownership
- Complex structures without clear purpose

TCSPs should **decline** clients who refuse UBO disclosure.

TCSP CDD Under FATF

Identify the client and beneficial owner, understand the purpose, and monitor the relationship.

Key Points:

- CDD is mandatory under FATF
- Identify beneficial owners
- Maintain records for 5+ years
- File SARs when suspicious

Trust CDD Requirements (FATF Rec. 25)

Must identify and verify:

- **Settlor:** Person who creates trust
- **Trustee:** Person/entity managing trust
- **Protector:** If has veto or replacement rights
- **Beneficiaries:** To extent determinable

Protector with veto qualifies as PEP if former head of state.

Bearer Shares Risk

- Transferred by physical delivery of certificate
- **NO public registry record** of ownership
- Ownership can be transferred anonymously
- FATF Rec. 24: prohibit or require immobilization

Bank obligations:

- Verify custodian can identify holder
- Still need to identify UBO
- Decline account if custodian refuses disclosure

Accountant ML Risks

Preparing accounts that conceal the source of funds and facilitating tax evasion.

Key Vulnerabilities:

- Can be used to conceal illicit activity
- Creating false records
- Overstating expenses

Red Flags for Accountants

- Clients who refuse to provide source of funds
- Complex structures without clear business purpose
- Refusal to provide documentation
- Unexplained wealth or income

Accountants must **question** unusual client requests.

How Accountants Facilitate ML

- Creating false records
- Overstating expenses
- Concealing beneficial ownership
- Preparing false tax returns

Key Points:

- Accountants can be willing or unwilling facilitators
- Professional status may bypass scrutiny
- Covered under FATF Recommendation 22

Accountant AML Responsibilities

CDD, record-keeping, and STR filing for suspicious activity.

Key Points:

- Accountants are covered under FATF Recommendation 22
- Must conduct CDD on clients
- Must file SARs for suspicious activity
- Must maintain records

FTZ ML Risks

Lack of standardized inspection protocols for transshipped goods, enabling trade-based ML.

Key Vulnerabilities:

- Limited oversight
- Phantom shipping
- Cargo mislabeling
- Uniform invoice values

FTZs are **high-risk** due to limited oversight.

Precious Metals/Stones ML Risks

High-value, portable, and easily concealed assets that can be used for value transfer.

Key Vulnerabilities:

- High value to weight ratio
- Easily concealed
- Subjective valuation

Precious metals are covered under **FATF Recommendation 23**.

Art and Antiquities ML Risks

Subjective valuation makes over/under-invoicing easy, and sales can be anonymous.

Key Vulnerabilities:

- Value transfer and integration
- Subjective pricing
- Anonymous sales through auction houses
- Covered under FATF Recommendation 23

Shell Company Risks

Conceal beneficial ownership and create opacity in financial transactions.

Key Vulnerabilities:

- Layering tool
- Bearer shares
- Nominee directors
- Multiple jurisdictions

Hawala Characteristics

Informal value transfer system operating outside formal banking, based on trust and reciprocal obligations.

Key Points:

- No traceable banking record
- Operates outside formal financial system
- FATF Rec. 14 requires licensing/registration

Hawala operators must register as MSBs - no cultural heritage exemption.

Money Mule Typology

A person who receives and transfers illicit funds through their account, often unknowingly recruited.

Red Flags:

- Multiple incoming P2P transfers from dozens of individuals
- Transfers typically under \$500 each
- Immediate aggregated wire transfers to offshore shell company
- Account holder with no verifiable income

- 1 ML vs. TF distinction
- 2 Three stages: Placement, Layering, Integration
- 3 TBML: Over/under-invoicing, phantom shipping
- 4 BMPE uses drug dollars for legitimate invoices
- 5 Nested correspondent accounts
- 6 Shell banks prohibited
- 7 PEPs: Family members included; SoW AND SoF required
- 8 6AMLD: 22 predicate offenses
- 9 Travel Rule for VASPs
- 10 DeFi: Control or influence = VASP obligations
- 11 Privacy coins: Ring signatures, stealth addresses
- 12 NFT wash trading
- 13 Human trafficking: Multiple individuals to one controller
- 14 Chip washing: Large buy-in, minimal gaming
- 15 IOLTA vulnerabilities
- 16 Bearer shares: Transfer by physical delivery
- 17 SAR filing standard: Reasonable suspicion
- 18 Tipping-off: Telling customer about SAR
- 19 De-risking: Blanket termination violates RBA
- 20 FATF effectiveness: IO.6, IO.7, IO.8

- **Structuring:** \$9,000-\$9,800 repeated deposits
- **PEP:** Minister's daughter, "consulting fees," refuses SoW docs
- **TBML:** Price 400% above/below market, shell company exporter
- **Human Trafficking:** Multiple individuals → 1 controller → multiple utility payments
- **NPO/TF:** Rapid cash withdrawal far from HQ
- **Correspondent:** Undisclosed nested transactions
- **DeFi:** 68% governance token control, ability to upgrade code
- **Casino:** Large cash buy-in, minimal gaming, cash-out check
- **Real Estate:** Recently formed LLC, IOLTA wire, refuses UBO disclosure
- **Prepaid Cards:** Multiple cards loaded at \$9,500, border evasion

- **Domain A is 30% of the exam** - largest single domain
- FATF Recommendations, PEPs, TBML, correspondent banking heavily tested
- **Select Two/Three/Four questions** = get ALL correct for credit
- Read scenarios carefully - facts matter
- Distinguish between ML and TF
- Know placement, layering, integration stages
- SARs filed on reasonable suspicion, not conclusive proof
- De-risking (blanket termination) is NOT preferred
- OSINT/adverse media does NOT require conviction

Good luck on your CAMS exam!